


Bacon's

NewsLine

IN BRIEF

■ **IN PREPARATION** for the 2002 Winter Olympics in Salt Lake City, which begin in February, organizers were on Capitol Hill Oct. 3 to ask for \$40 million for extra security measures, including metal detectors, video surveillance and plainclothes agents.

■ **BUSINESS TRAVELERS PERSEVERE**, according to an Oct. 16 survey by Yesawich, Pepperdine & Brown, a marketing services firm based in New York City. Of the 800 business travelers surveyed, 81 percent said their travel plans would not be influenced by the Sept. 11 events, up from 67 percent in a similar report completed on Sept. 12.

■ **THE CONVENTION INDUSTRY COUNCIL**, based in Washington, D.C., teamed with meetings Web site StarCite to create Operation Cancellation Rescue, a program to aid planners who have to cancel or rebook hotel rooms or meeting space due to current events. The service, linked to www.starcite.com, is free through the end of the year. Planners with canceled space can enter the information, and those who need space can search the inventory.

MORE TRAVELERS ARE CHOOSING RAIL, WHEELS

Alternative Transit Picks Up

Wary of commercial flights, many Americans are instead opting to travel by rail, rental car, bus or chartered plane.

Revenue for Washington, D.C.-based Amtrak increased 40 percent in the week following Sept. 11, according to the railroad. To cope with the surge in demand, Amtrak added 2,000 seats to its Northeast Corridor line. In addition, ridership on the company's high-speed Acela trains increased by 35 percent over the previous year.

More recently, Amtrak asked the federal government for \$3 billion to increase security on its trains. Beginning in late September, all passengers and those shipping freight were required to show photo IDs. As of Oct. 9, passengers on the Northeast Corridor line were required to buy tickets before boarding.

Rental car companies also reported a boost in business post-Sept. 11. Major firms initiated special policies such as waiving penalties for one-way drop-offs, with some extending that policy into this month.

Bus and rail hubs initially will see an increase in volume, said Dr. Edward Beimborn, director of the Center for Urban Transportation Studies at the University of Wisconsin-Milwaukee. But, he added, "Eventually, everyone will go

back to flying."

Meanwhile, some charter airlines report an increase in business. According to Lisa Pisaturo, vice president of marketing at Waltham, Mass.-based Flight-Time, many new passengers are upper and middle managers

"who do not wish to stand in line at airports and who want to know exactly who else is on their plane." ■ TERENCE BAKER



■ On track: Amtrak's high-speed Acela train

Planners Turn to Tech

With canceled business trips and heightened fears about air travel, many in the industry say Web- and video-based events are poised to fill the gap, at least for now.

"Given all the uncertainty, our travel in the indefinite future will be down about 20 percent," said Peter Kassner, vice president and chief research officer for The Aberdeen Group, a Boston-based technology consulting firm.

Implementation of virtual meetings and conferences at Aberdeen increased by 25 percent in the week after the events of Sept. 11, said Kass-

ner, who added that canceled events will be replaced with virtual meetings.

"The week of the attack, we saw a 49 percent increase in usage over the prior week," said Barry James Folsom, president of Mountain View, Calif.-based virtual events company PlaceWare. Overall, Folsom expects to see 30 to 35 percent more business as a result of the Sept. 11 attacks.

San Jose, Calif.-based virtual meetings supplier WebEx reported a similar jump in demand, according to Praful Shah, vice president of strategic marketing. "Safety is a

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factor," he observed.

Providers of videoconferencing equipment and services also experienced a boost following Sept. 11. "Service providers have already seen a sharp increase in business," said Andrew Davis, managing partner of technology research firm Wainhouse Research, based in Brookline, Mass. Vendors selling videoconferencing equipment could see their sales expand by as much as 35 percent in the fourth quarter of 2001, he estimated.

Virtual trade show suppliers also find themselves part of the movement to take

meetings to the electronic arena. Short Hills, N.J.-based Expocentric has been receiving calls from prospective new clients, said Bari Pollack, vice president of client services. Virtual events can serve as an interim measure when a show is postponed, she added.

Although business travel is expected eventually to pick up again, "The use of virtual alternatives has increased significantly, and that probably will continue," according to Billy Pidgeon, an analyst for the technology market research firm Jupiter Media Metrix, based in New York City. ■ M.C.

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